

evidence Plaintiff was rushed, pressured, misled, or prevented from reviewing the agreement before signing.

Substantive Unconscionability

In order to be invalid, the arbitration agreement must also be substantively unconscionable. “Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh.” (*Carmona v. Lincoln Millennium Car Wash, Inc.*, 226 Cal.App.4th at 85, quotations and citations omitted.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be so one-sided as to ‘shock the conscience.’” (*Ibid.*)

The “paramount consideration” is the mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.) “Substantive unconscionability focuses on the one-sidedness or overly harsh effect of the contract term or clause.” (*Harper v. Ultimo* (2003) 113 Cal.App.4th 1402, 1406-1407.) An arbitration agreement “lacks basic fairness and mutuality if it requires one contracting party, but not the other, to arbitrate all claims arising out of the same transaction or occurrence or series of transactions or occurrences.” (*Armendariz*, 24 Cal.4th at 120.)

Plaintiff argues that the Arbitration Agreement is substantively unconscionable because it repeatedly refers to “the Company” without identifying the applicable entity or entities, thereby allegedly allowing Defendants to selectively invoke the agreement across multiple related entities. While uncertainty regarding the parties to an arbitration agreement may contribute to unconscionability concerns in some circumstances, the Arbitration Agreement here is bilateral on its face and governs disputes arising from Plaintiff’s employment relationship. (Van Hooser Decl., ¶ 8, Exhs. A-B.) The agreement does not contain the type of one-sided provisions limiting remedies, restricting discovery, imposing unfair costs, or exempting employer claims from arbitration that typically support a finding of substantive unconscionability. Moreover, Plaintiff’s claims against both Defendants arise from the

same alleged employment relationship and operative facts. Accordingly, any alleged ambiguity regarding “the Company,” standing alone, is insufficient to render the Arbitration Agreement substantively unconscionable.

Because Plaintiff has failed to demonstrate substantive unconscionability, the minimal procedural unconscionability present is insufficient to render the Arbitration Agreement unenforceable.

Waiver?

Plaintiff also argues that Defendants waived their right to compel arbitration through unreasonable delay.

The right to compel arbitration is contractual and may be waived, either expressly or through conduct inconsistent with an intent to arbitrate. (See Code Civ. Proc., § 1281.2; *Davis v. Blue Cross of Northern Calif.* (1979) 25 Cal.3d 418, 425.) However, delay alone does not establish waiver. In determining a waiver, the court can consider whether: (1) the party's actions are inconsistent with the right to arbitrate; (2) “the litigation machinery has been substantially invoked” and the parties “were well into preparation of a lawsuit” before the party notified the opposing party of an intent to arbitrate; (3) a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; and (5) “important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 573, 580.)

Here, the record does not support a finding of waiver. The record shows that after Plaintiff filed this employment action on 12/11/25, Defendants made multiple unsuccessful attempts to have Plaintiff submit her claims to arbitration. (Javier Decl., ¶¶ 3-10, Exhs. 1-9.) Defendants repeatedly advised Plaintiff of their intent to file a motion to compel arbitration if no stipulation is reached. (Id.) Defendant thereafter filed an Answer on 2/18/26 and filed this motion to compel arbitration shortly